

Objectives of company tax loss provisions [¶18-010]

[¶18-010]

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The objectives of the rules relating to tax losses are threefold. They provide for loss balances to be carried forward (or, in certain circumstances, back) and subtracted from net income in future (or past) income years; they limit the circumstances in which loss balances can be carried forward and utilised based on a continuity of ownership or business continuity test; and they provide for the circumstances in which a loss company may make a net loss available to another company in the current or a future income year.

Conceptually, it is important to understand that a total tax loss for a year is made up of tax loss components — a loss the company made in a previous year which is carried forward to the current tax year, losses made during the current tax year, excess imputation credits converted to a loss under s [LE 2](#) (if applicable) and, if requirements are met, possibly a tax loss shared by another company. See Interpretation Statement [IS 22/07](#): “Company losses — ownership continuity, sharing and measurement”.

Law: IT07 Pt I, s [BC 4\(4\)](#)

Last reviewed on 31 December 2025

Carry-forward of company loss balances [¶18-015]

[¶18-015]

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#Note: Inland Revenue (IR) issued an interpretation statement, [IS 22/07](#): “Company losses — ownership continuity, sharing and measurement”, which covers the rules applying to company losses in detail.

A company may carry forward a loss balance for offset against net income derived in subsequent tax years, provided shareholder continuity requirements are satisfied ([¶18-023](#)) and subject to the restriction referred to in [¶18-017](#). There is no time limit for carrying forward a loss balance. Consequently, where the amount cannot be used, the loss balance is carried forward from that tax year to the next one and deducted from any net income derived by the company. This process will continue for succeeding tax years until the loss balance is extinguished.

If a company carries forward a loss balance incurred in 2 or more tax years, that loss balance must be subtracted from net income in the order in which its tax loss components occurred. This means that each tax loss component must be traced to determine whether it can be carried forward. A tax loss component is the net loss for the tax year, certain other types of loss in s [IA 2\(4\)](#) and any unused tax loss component from an earlier year.

As outlined in [¶18-023](#), any direct or indirect change in shareholding may have a bearing on whether a loss balance from a previous income year may be carried forward. Specific anti-avoidance rules apply to prevent the manipulation of rights attaching to shares to meet the terms of the loss carry-forward rules (s [GB 3](#)).

#Note: From the 2020–21 income year, a continuity of business activities test is also available to enable a company to carry forward losses in certain situations where the shareholder continuity requirements are not satisfied. Specific anti-avoidance rules apply to prevent arrangements manipulating the new rules ([¶18-035](#)).

A loss balance arising from a loss incurred in the production of exempt income is not available for carry-forward.

A multi-rate portfolio investment entity (PIE) may not carry forward a loss balance unless it has chosen to pay provisional tax ([¶129-135](#)).

Law: IT07 ss [BC 4\(4\)](#), [GB 3](#), [IA 1](#), [IA 2](#), [IA 9](#)

Last reviewed on 31 December 2025

Restriction against using tax losses for schedular tax liabilities [¶18-017]

[¶18-017]

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A taxpayer may not take a tax loss into account in calculating their schedular income tax liability for the following classes of schedular income:

- # non-resident passive income subject to a final withholding tax
- # income derived by a non-resident shipper
- # income derived by a non-resident general insurer
- # schedular policyholder base income, and
- # income derived under the anti-injection rule in s [GB 3BAB](#).

Section [BC 7](#) must be read subject to this restriction. Other schedular income, such as Category A income arising from a group investment fund and income derived by a multi-rate PIE, is not subject to the restriction.

Law: IT07 ss [BC 7](#), [IA 8](#), [YA 1](#) (“[schedular income](#)”)

Last reviewed on 31 December 2025

Interposed entities — restriction against using tax losses [¶18-018]

[¶18-018]

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A restriction against the use of carried-forward losses by an “interposed entity” applies when calculating net income for the attribution rule for income from personal services. Net income derived by an interposed entity from personal services must be attributed to the person who performed those services ([¶133-325](#)). While carried-forward loss balances arising from personal services may be taken into account when determining the net income to be attributed, it appears that loss balances carried forward from other activities may not be.

Law: IT07 s [GB 29\(1\)](#)

Last reviewed on 31 December 2025

Shareholder continuity requirement to carry forward losses [¶18-023]

[¶18-023]

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Very broadly, a company can carry forward a tax loss component of a loss balance if at all times during the period from the beginning of the year of loss to the end of the year of carry-forward (the continuity period) a group of persons holds an aggregate of at least 49% of the minimum voting interests in the company (¶16-145). If, during this continuity period, a market value circumstance exists (¶16-170) in respect of the loss company, the same group of persons must also hold at least 49% of the minimum market value interests in the loss company throughout the continuity period.

Overall, the intention of this continuity of ownership test is to ensure that those shareholders who incurred the net losses (either directly or indirectly) are entitled to benefit from those net losses in future years.

The lowest percentage voting or market value interest held by each shareholder during the continuity period is used to determine if shareholder continuity requirements are satisfied.

A share in a company is held by the person whose name is entered in the share register as the holder: *BHL v C of IR* (2011) 25 NZTC ¶20-088.

Example:

Loss Co incurs a net loss for the year ended 31 March 20X4. Its voting interests are held as follows:

Lesley 20	John 15	Matthew 25	David 40
Loss Co			

At the end of the 20X4–X5 income year, Loss Co wishes to carry forward the 20X3–X4 loss balance. Its voting interests as at 31 March 20X3 are:

Lesley	John	Matthew	James
30	10	10	50

John and Matthew have each sold a 5% holding to James and David has sold his 40% holding to James. James now holds 50%. Matthew has also sold a 10% holding to Lesley.

To establish whether there is a sufficiently high percentage for the 20X3–X4 tax loss component of its loss balance to be carried forward, Loss Co draws up the following table:

	Voting interest 1/4/X3	Voting interest 31/3/X5	Lowest voting interest
Lesley	20	30	20
John	15	10	10
Matthew	25	10	10
David	40	—	—
James	—	50	—
			40%

In this case, Loss Co cannot carry forward its 20X3–X4 tax loss component of its loss balance to the 20X4–X5 tax year under subpart 1A as it fails to meet the 49% continuity of voting interests test.

The shareholder continuity test was previously the sole test for a company to be able to carry forward losses. Thus, if the shareholder continuity test was breached, the company lost its ability to carry forward its losses. However, from the 2020–21 income year, the rules were loosened, so that where a company fails the shareholder continuity test, it may still be able to carry forward its losses if it satisfies the business continuity test ([¶118-035](#)).

Law: IT07 s [1A 5](#)

Last reviewed on 31 December 2025

Carry forward of part-year net losses incurred after continuity breach [¶18-025]

[¶18-025]

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When shareholder continuity has been breached part-way through an income year (and the company is not applying the business continuity test ([¶18-035](#)) to carry the losses forward), any net loss incurred by the company that is attributable to the part-period of the year after the change in shareholding is a loss balance that may be carried forward by the company. To be carried forward:

- # the 49% continuity requirement must be satisfied from the date of ownership change until the end of the carry-forward year
- # there must be an overall net loss for the year of ownership change, not just for the post-continuity breach period, and
- # the amount of the part-year loss may not exceed the amount of the net loss for the entire loss year.

This rule is generally applicable to companies formed part-way through an income year that incur a net loss in the period to the end of the income year. Adequate financial statements must be prepared and given to the Commissioner calculating the amount of the net loss attributable to that part-year.

Example:

Standard balance date company



There is at least a 52% change of shareholding on 30 September 20X2. Consequently, continuity is breached. The loss balance carried forward to the 20X4–X5 income year will be nil. However, the loss balance carried forward to the 20X5–X6 income year will be \$0.4 million.

Law: IT07 ss [IP 3\(4\)](#), [\(5\)](#), [IP 6\(1\)](#)

Last reviewed on 31 December 2025

Carry forward of part-year net losses incurred before continuity breach [¶18-030]

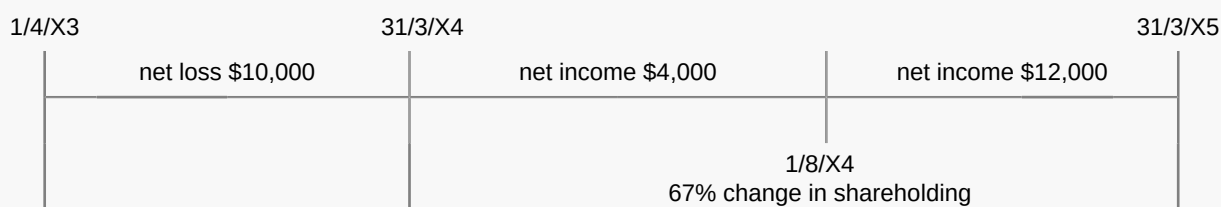
[¶18-030]

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When shareholder continuity is breached during a tax year (and the company is not applying the business continuity test ([¶18-035](#)) to carry the losses forward), any losses incurred in a previous tax year can be carried forward to that income year and subtracted from any current part-year net income attributable to the period before the change in shareholding. Relief from the general shareholder continuity requirements will only apply to the relevant current part-year period and will not extend to later periods. Adequate accounts must be given to the Commissioner relating to the part-year net income and must set out the amount of that net income attributable to that part-year.

Example:

Standard balance date company



The \$10,000 loss balance for the 20X3–X4 income year may be carried forward and subtracted from the \$4,000 net income derived in the 20X4–X5 income year (this being the amount derived up to the date of breach of continuity). However, the remaining \$6,000 of the loss balance cannot be utilised or carried forward.

Law: IT07 ss [IP 3\(2\)](#), [\(3\)](#), [IP 6\(1\)](#)

Last reviewed on 31 December 2025

Business continuity test to carry forward losses [¶18-035]

[¶18-035]

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The tax loss continuity rules have been relaxed by the introduction of a new business continuity test (BCT) from the 2020–21 income year. The intention is to ensure companies that breach the shareholder continuity requirement, and continue the business activities performed before the change of ownership, can still carry losses forward to offset income when they return to profit if they satisfy the requirements of the BCT. In addition, the ability to carry forward losses should make businesses more valuable to investors and improve access to capital for businesses.

The BCT is found in new subpart [IB](#). In summary, the provisions allow a company that has breached the shareholder continuity test to continue to carry forward its tax losses provided no major change in the business activities of the company has occurred. The test is discussed in more detail below.

Application

The BCT provisions only apply when a company has breached the shareholder continuity test in s [IA 5](#) ([¶18-023](#)) for carrying forward losses (referred to as an “ownership continuity breach”). Thus, despite an ownership continuity breach, a company may still carry forward its losses provided it meets the requirements of s [IB 3](#).

Note that the BCT does not apply to companies that are mineral miners. Those companies have a tailored BCT already available under s [IS 2](#) (s [IB 3\(5B\)](#)).

The BCT rules apply in relation to a breach of the shareholder continuity requirements that occurs during the 2020–21 or later income year.

Requirements for carrying forward losses

In summary, the requirements in s [IB 3](#) that must be satisfied to carry forward the losses are as follows:

- # an ownership continuity breach must have occurred during the 2020–21 income year or later (s [IB 3\(1\)](#))
- # the tax loss being carried forward must have arisen in the 2013–14 or later income year (s [IB 3\(2\)\(a\)](#))
- # the company must not have ceased to carry on business activities during the business continuity period (s [IB 3\(2\)\(b\)](#))
- # no major change in the nature of the business activities carried on by the company occurs during the business continuity period, other than a permitted major change (s [IB 3\(2\)\(c\)](#))
- # the company did not cease to carry on business activities before the beginning of the business continuity period, or if it did, the business activities were revived before the beginning of the business continuity period (s [IB 3\(3\)\(a\)](#))
- # for tax losses arising from the 2020–21 or later income years, the company has not had another ownership continuity breach since the beginning of the year the loss arose (which may be prior to the 2020–21 income year) and for which the cessation rule and major change rule were not satisfied (s [IB 3\(3\)\(b\)](#))
- # for tax losses arising before the 2020–21 income year, an ownership continuity breach did not occur before the BCT provisions applied (s [IB 3\(3\)\(c\)](#)) (put another way, the pre-2020–21 income year losses could be carried forward without needing to rely on the BCT)
- # the anti-avoidance rule in s [GB 3BA](#) does not apply (see below).

It has been clarified that losses incurred before the 2020–21 income year can be carried forward to the 2020–21 year under s [IB3](#).

The policy intention is if a company had a breach in shareholding before the 2020–21 income year, losses incurred before that breach cannot be carried forward and losses incurred after the breach can be carried forward on a further shareholding breach subject to the BCT.

Continuity of ownership is normally counted from the date a loss is incurred to the date the loss is used, or the business continuity period ends. However, for a company that is maintaining losses under the BCT, this usual continuity period is not appropriate. Legislators decided that the appropriate period is from the date the company became subject to the BCT to the date the loss is used or the business continuity period ends. To give effect to this s [IB 2B](#) has been inserted into the BCT rules and this provision amends the shareholder continuity test for the purposes of the BCT, ensuring it works correctly once there has been an initial shareholding breach.

See examples 1–3 in [IS 22/06](#) which illustrate the application of the requirements in s [IB 3](#).

Business activities

“Business activities” is not a defined term.

Interpretation Statement [IS 22/06](#): “Loss carry-forward — continuity of business activities” provides detailed guidance on how the main aspects of the BCT in s [IB 3](#) apply. In particular, the statement considers the nature of a company’s business activities, how to determine if there has been a major change, and whether a change is a permitted major change. In summary, [IS 22/06](#) provides as follows:

“# ... ‘Business activities’ are any action taken in pursuit of one or more businesses that may be carried on by the company for income tax purposes. ‘Nature’ is defined as ‘the basic or inherent features, qualities, or character of a person or thing’, so the test is concerned with the basic or inherent features, qualities, or character of the company’s business activities.

The nature of a company’s business activities should be described by referring to its core business processes and the type (or category) of product or service that the company produces or provides, and not to particular products or services.

Determining whether there has been a major change in the nature of a company’s business activities requires both a qualitative and a quantitative assessment, taking into account changes in assets and any other potentially relevant factors. Overall, the relevant factors to be taken into account and their weight will depend on the particular facts in question. The change will be major if it is of greater importance when comparing the nature of the company’s business activities before and after the ownership continuity breach.

The extent to which the assets used in deriving the company’s assessable income have remained the same or similar over the continuity period is a factor to be taken into account in determining whether a major change has occurred (s [IB 3\(4\)](#)).

The relevant assets of a company will usually be those recorded in its statement of financial position. However, depending on the particular facts, other assets may also be taken into account, such as internally generated goodwill, brands, customer lists, and early-stage intangibles, but not people, generic business processes, or generic know-how.

Certain assets may be more relevant to the question of whether or not there has been a major change than other assets.

Section [IB 3\(4\)](#) requires an assessment of the extent to which the assets used in deriving the company’s assessable income have remained the same or similar over the business continuity period. The assets of a company may need to be replaced due to wear and tear, obsolescence, or to keep up with new improvements. Provided the replacement assets are of the same kind in appearance, character, and quantity as the assets they are replacing (without being identical), the change in those assets is not a factor that is taken into account in assessing whether there has been a major change.

Section [IB 3\(4\)](#) does not limit the factors that may be taken into account. Other factors that may be relevant include changes in:

- # business processes
- # suppliers or other inputs

- # scale
- # the markets supplied to, and
- # the type of product or service produced or provided.
- # If there has been a major change in the business activities carried on by a company, the BCT may still be satisfied if the major change is a permitted major change (s [IB 3\(5\)](#)). There are four permitted major changes, broadly, changes:
 - # made to increase the efficiency of a business activity
 - # made to keep up to date with advances in technology
 - # caused by an increase in the scale of a business activity, and
 - # caused by a change in the type of products or services produced or provided.
- # Depending on the facts, it may be easier to first consider whether a change in the nature of the business activities carried on by a company is a permitted major change (on the assumption that the change is major). If the change falls within one or more of the permitted major changes, it will be unnecessary to determine whether the change is a major change.
- # Changes caused by a change in the type of products or services a company produces or provides will be a permitted major change if the change involves starting to produce or provide a product or service:
 - # using the same, or mainly the same, assets as, or
 - # that is otherwise closely connected with, a product or service that the company produced or provided immediately before the start of the continuity period (s [IB 3\(5\)\(d\)](#)).
 - # The first limb of s [IB 3\(5\)\(d\)](#) can be satisfied where the 'same, or mainly the same' assets are used to produce or provide the new type of product or service. On balance, it is considered that an interpretation of mainly that numerically equates to approximately 75% is appropriate in this context.
 - # For the purposes of the second limb of s [IB 3\(5\)\(d\)](#), the connection between the new product or service and existing products or services needs to be strong. Examples could include products or services:
 - # based on the same underlying technology, or
 - # that significantly enhance the utility or enjoyment of existing products or services, or
 - # that are commonly sold together with existing products or services in order to enhance the sales of those products or services.
- # A tax loss cannot be carried forward if before the beginning of the business continuity period the business activities carried on by the company have ceased and have not been revived (s [IB 3\(3\)\(a\)](#)), or if the company ceases to carry on business activities during the business continuity period (s [IB 3\(2\)\(b\)](#)).
- # For the purposes of ss [IB 3\(3\)\(a\)](#) and [IB 3\(2\)\(b\)](#), a temporary cessation will not constitute a cessation of business activities. In contrast, cessation with the possibility of recommencement will constitute a cessation."

[IS 22/06](#) has a flowchart in Appendix One that assists with determining whether a tax loss component of a company can be carried forward from an income year under s [IB 3](#), despite a breach in ownership continuity.

Business continuity period

The business continuity period is defined in s [IB 4](#). In summary, the business continuity period is generally the period starting immediately before the ownership continuity breach and ending on the earlier of the last day of the income year in which:

- # the tax loss component is used, or
- # the fifth anniversary of the ownership continuity breach falls.

The 5-year period is a maximum length of time that the major change test will have to be considered for most companies. When a tax loss component has been used by a company it no longer exists to be carried forward to a future year. The test therefore only ever considers whether a company can continue to carry

forward existing tax loss components and has no bearing on the validity of losses already used. Thus, losses previously carried forward under the test and used in an earlier income year are not jeopardised by a subsequent major change in the nature of the business activities the company carries on.

However, where more than 50% of a company's carry-forward tax losses arise from bad debt deductions, the business continuity period will end on the last day of the income year in which the company uses the tax loss component. In other words, the 5-year cap on the test does not apply, and the business continuity period will remain until the losses carried forward are utilised. The formula for determining the percentage of losses from bad deductions is set out in ss [IB 4\(2\)](#) and [\(3\)](#):

$$(\text{bad debt deductions} - \text{bad debt repayment income}) \div (\text{total deductions} - \text{bad debt repayment income})$$

where:

bad debt deductions is the total amount of bad debt deductions the company has been allowed between the 2013–14 income year and the income year immediately before the ownership continuity breach (inclusive) in which a tax loss component included in the company's tax loss for that year arose

bad debt repayment income is the total amount of income the company has under s [CG 3](#) (Bad debt repayment) for the income years specified above

total deductions is the total amount of allowed deductions the company has for the income years specified above.

Major changes

Section [IB 3\(4\)](#) provides that, without limiting other factors, the extent to which the assets used in deriving a company's assessable income have remained the same or similar over the business continuity period must be taken into account when determining whether a major change has taken place in the company's business activities.

Not every change will be a major change. Any change in business activities (including use of assets) must be considered against the unchanged business activities (including use of assets) employed by the company to generate income to establish whether the change is "major". Generally, this is a question of scale (in other words, how significant is the change in the context of the operations of the entire company). The test is not intended to give special weight to any particular factor.

Permitted major changes

A major change in the nature of a company's business activities during the continuity period will not prevent a company from carrying forward its losses if the change is one of the permitted major changes set out in s [IB 3\(5\)](#). These are a major change:

- # made to increase the efficiency of a business activity carried on by that company relating to a business activity carried on by the company immediately before the beginning of the business continuity period
- # made to keep up to date with advances in technology relating to a business activity carried on by the company immediately before the beginning of the business continuity period
- # caused by an increase in the scale of a business activity carried on by the company carried on immediately prior to the business continuity period, including as a result of the company entering a new market for a product or service that it produces or provides
- # caused by a change in the type of products or services the company produces or provides that involves the company starting to produce or provide a product or service using the same, or mainly the same, assets as, or that is otherwise closely connected with, a product or service the company produced or provided immediately before the beginning of the business continuity period.

The fourth category above covers changes in product or service type. The Commentary states that this permits:

- # a company to pivot and drop a type of product or service and start producing or supplying another that has a close connection (for example, a restaurant operator switching to a cooking school), and
- # a company to be able to retain its existing product/service type but also add to it as opportunities arise, as long as there is a close connection (for example, a clothing manufacturer starting a range of commercial cleaning cloths using offcuts from the clothing).

Any new types of product or services need to relate to those already being produced in some way, either because they are made using mainly the same assets or processes, or there is some other close connection between those already being produced.

Note that for the purposes of determining whether a major change is a permitted major change under s [IB 3\(5\)](#), “asset” does not include land other than buildings or fixtures.

Amendments made to s [IB 3\(5\)](#) ensure that the permitted major changes in the BCT relate to business activities performed before the ownership change in the company.

Part-year losses

Companies that have a major change in the nature of their business activities and fail the BCT during an income year are able to utilise losses up to the day of the breach.

Tax loss components incurred after the breach may be carried forward (subject to any future ownership continuity breach). This aligns the use of part-year losses with the general part-year loss rules on an ownership continuity breach.

Group companies

New Zealand resident companies that are part of the same group of companies immediately before and immediately after an ownership continuity breach occurs (for each of the companies) are treated as a single company for the purposes of applying the BCT and its associated anti-avoidance provisions (s [IB 5](#)). When assessing if there has been a major change the acquired group must be looked at as if it was a single company rather than separate entities.

While a group of companies may include non-resident companies, the BCT only applies to New Zealand resident companies.

Anti-avoidance provisions

Several anti-avoidance provisions have been inserted into the Act to ensure the new provisions do not open up opportunities for loss trading.

Dormant company rule

Section [IB 3\(3\)\(a\)](#) disallows the carry forward of losses if the change in ownership occurs at any time after the business activities of the company have ceased and before any revival of the business. This dormant company rule does not require assessment of whether a company is completely dormant, but the intention is that it should deal with companies that are no longer viable and really only have value in their stock of tax losses. Similarly, s [IB 3\(2\)\(b\)](#) disallows any further carry forward of losses where a company ceases to carry on any business activities (in effect becomes dormant after the change in ownership).

The dormant company rule does not apply to a temporary reduction in activity. A company may be seasonal or may have to temporarily suspend trading due to Government order, but as long as the income-earning infrastructure remains ready to be operational, there is no cessation of the business that will trigger the dormant company rule. It does not matter that a company is being run by receivers or liquidators as long as there remains a sufficient level of business activity.

Change in business activities prior to acquisition

Section [GB 3BA](#) prevents arrangements made between the purchaser and seller of a company within the 2 years immediately preceding an ownership continuity breach that are intended to defeat the intent and application of the BCT or dormant company rule.

Anti-injection rules

One way to engage in loss-trading activity is to buy a loss company and inject some profitable activity or reduce its costs to soak up available losses. An acquirer may purchase a company and continue to run its business activities while also injecting amounts of income into the business or transferring costs out of the business that are small enough not to be regarded a major change. This is most likely to occur with an associated person. Sections [GB 3BAB](#) and [GB 3BAC](#) are specific anti-injection rules and only apply where a company is relying on the BCT to carry forward losses.

The anti-injection rules will apply if all of the following conditions are met:

- # person A and person B, who are associated persons, enter into an arrangement, and
- # tax losses of a company are carried forward under the BCT in s [IB 3\(2\)](#), and
- # an effect of the arrangement is that:
 - # the company derives assessable income that, but for the arrangement, a person other than the company would have derived, or would in all likelihood have derived, or might be expected to have derived, or
 - # a person other than the company is allowed a deduction for an amount of expenditure or loss the person incurs that, but for the arrangement, the company would have incurred, or would in all likelihood have incurred, or might be expected to have incurred, and
 - # the sole or main purpose of the arrangement is tax avoidance.

In the case of income injection, s [GB 3BAB](#) deems the amount of injected income to be schedular income of the loss company. This results in tax to pay on that income (as well as any associated shortfall penalties).

In the case of cost shifting, s [GB 3BAC](#) provides that the company is treated as having incurred the amount of the expenditure or loss and the other person is treated as not having incurred that amount. The other person will therefore have tax to pay on the income previously offset (as well as any associated shortfall penalties).

IR issued [IS 25/14](#), "Income tax – arrangements involving tax losses carried forward under the business continuity rules", which sets out the Commissioner's view on the potential application of the specific anti-avoidance rules in ss [GB 3BA](#), [GB 3BAB](#) and [GB 3BAC](#). The item includes a number of practical examples demonstrating the application of these anti-avoidance provision.

Public private partnership projects and BCT

Under a standard New Zealand public private partnership (PPP) project, a private company or a limited partnership (the contractor) partners with government to construct major infrastructure projects. [QB 25/21](#): "Income tax — Public private partnership projects and business continuity test for losses" considers whether a major change in the nature of the contractor's business occurs when the project moves from the design and construction stage to an operational and maintenance phase. The initial design and construction stage commonly incurs tax losses, and the contractor will rely on the BCT to carry forward tax losses. The item concludes that while the transition into the operation and maintenance stage could be a major change, it will be a permitted major change if the 2 phases are closely connected due to economic, legal and financial dependencies. For more detail on PPP and carrying forward losses see [QB 25/21](#).

Law: IT07 subpart [IB](#), ss [GB 3BA](#), [GB 3BAB](#), [GB 3BAC](#)

Last reviewed on 31 December 2025

Introduction to rules for grouping tax losses [¶18-050]

[¶18-050]

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A company may make its tax loss available for subtraction from the net income of another group company. There are 2 mechanisms for grouping tax. The first is for the loss company to make an election in its tax return for the tax loss to be made available to the profit company. The second is for the profit company to agree to bear the amount of the loss company's tax loss and in return make a subvention payment to the loss company ([¶18-060](#)).

Where a company has a loss balance that has been carried forward from an earlier year, that carried forward loss balance must first be used to offset that company's own net income in the relevant year before the grouping rules can be applied.

Grouping losses and ability to claim foreign tax credits

When a company makes an election to group its losses, it must be aware that it cannot also claim foreign tax credits.

Example:

A company that had nil tax to pay after utilising tax losses made available within its group was not entitled to a tax credit on tax paid in Australia.

The taxpayer company derived its income from interest and consulting fees. It claimed a tax credit for \$1,004 in tax paid in Australia on interest earned.

The High Court held that by grouping losses against its assessable income, the taxpayer had arranged its affairs so that there was no New Zealand tax payable in respect of income earned on the Australian investment. Had the taxpayer chosen not to group losses equal to the income earned, there would have been room for the credit. However, because the taxpayer's taxable income was nil, no tax was payable in respect of the Australian income. Therefore, the credit to which the taxpayer was entitled was also nil. See *Charity Finance Ltd v C of IR* ([1998](#)) 18 NZTC 13,565.

Rules for grouping tax losses

The rules on the grouping of tax losses are designed to restrict the ability of companies that are not members of the same tax loss source group from benefiting from those tax losses. The intention is to limit the circumstances in which a company with a net loss for a tax year, or a loss balance that is able to be carried forward in that tax year, may offset part or the whole of that net loss against the net income of another company. Grouping of losses is limited to those circumstances where at all times during the income year in which the net loss arises, and all the succeeding income years up to and including the year in which the net loss was made available, the loss company and the other company were, at least to the extent of 66%, commonly owned.

A loss company is able to transfer imputation credits to a profit company in conjunction with undertaking a loss offset ([¶17-107](#)). The imputation credit transfer mechanism allows the profit company to pay a fully imputed dividend despite engaging in loss grouping, thus removing any potential economic problem where a profit company may have insufficient imputation credits to fully impute a dividend if it has engaged in loss grouping and thus paid less tax.

Group company status

Two or more companies are part of a group of companies where there is at any time a group of persons the aggregate of whose "common voting interests" is equal to or greater than 66% and when a "market value circumstance" exists in respect of any company, the aggregate of whose "common market value interests" is equal to or greater than 66%. The terms "common voting interests" and "common market value

interests", measured at a particular time, refer to the lowest percentage interests held in each company by a shareholder at the time.

A group of companies can include an offshore company, even where that company derives no income from New Zealand and conducts no business activity in this country (see *C of IR v Alcan New Zealand Ltd* (1994) 16 NZTC 11,175 (CA)). Before *Alcan New Zealand*, IR took the view that an offshore subsidiary might not be included within a group of companies. Dual resident companies are permitted to use the loss grouping rules with effect from 15 March 2017 after s IC 7 was amended in 2023. Prior to this date there was a prohibition against loss grouping by non-resident companies (¶18-060).

Generally, a group of companies cannot include a multi-rate PIE or a listed PIE. There is an exception for a multi-rate PIE that owns 100% of the voting interests in the other group members. Those other group members must be multi-rate PIEs, land investment companies, foreign PIE equivalents or subsidiary companies that satisfy the entry and exit rules for PIEs in s HM 7(a) and (d). A multi-rate PIE that becomes a foreign investment PIE must not be part of a company group that includes a land investment company.

If one out of 2 or more companies is a listed PIE, the companies are a group if the PIE owns 100% of the voting interests in the other companies.

A group of companies may contain only one mixed-ownership enterprise (Sch 36, pt B) at any particular time.

Company group for an income year

Companies will be treated as part of a group of companies where at all times during the relevant period a group of persons (whether during that relevant period they are the same group of persons) have an aggregate of common voting interests (and common market value interests if a market value circumstance exists) of at least 66%. To group losses, the 66% commonality needs to be maintained at all times from the commencement of the income year in which the loss company incurs the loss to the end of the income year in which the loss is grouped.

Example:

Loss Co and Profit Co are both wholly owned by Bob at the beginning of the year. After six months, Bob sells 10% of Loss Co to Patti and 30% of Profit Co to Kim. Are Loss Co and Profit Co in the same group of companies for the whole of the year (assume there is no market value circumstance)?

Yes. Although there is a change in the ownership of the companies in the second six months, there is at least 66% commonality of ownership at all times during the year:

First six months

	Loss Co	Profit Co	Lowest common voting interest
Bob	100%	100%	100%
Patti	0%	0%	0%
Kim	0%	0%	0%

Aggregate of lowest common voting interests = 100%.

Second six months

	Loss Co	Profit Co	Lowest common voting interest
Bob	90%	70%	70%
Patti	10%	0%	0%
Kim	0%	30%	0%

Aggregate of lowest common voting interests = 70%.

Example reproduced with permission from *Tax Education Office Newsletter* No 127, 20 December 1996 at 4.

Under s [IC 3\(3\)–\(5\)](#) changes in shareholding for group companies are not material, provided the 66% common shareholding interest test is satisfied for the group from the tax year the loss arose until the loss is offset.

Law: IT07 subpart [IC](#), s [IA 6\(1\)](#)

Last reviewed on 31 December 2025

Wholly-owned group of companies [¶18-055]

[¶18-055]

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A wholly-owned group is a group of companies where, for the relevant period, a group of persons hold common voting interests that add up to 100% and, if a market value circumstance exists in any company, common market value interests that add up to 100%. Any shares held by exempt employee share schemes representing no more than 3% of the voting or market value interests in the company are disregarded.

The concept of a wholly-owned group is also relevant for other areas including:

- # the consolidation regime
- # special provisions under the controlled foreign company and foreign investment fund regimes for wholly-owned groups
- # the intercorporate dividend exemption under s [CW 10](#)
- # provisions on depreciation, and
- # bloodstock valuation.

Example:

Question: John and Peggy own between them 100% of the shares in 3 companies as set out below (assume no market value circumstance exists). Do these companies form a wholly-owned group?

Shareholder	Company X	Company Y	Company Z
John	49%	51%	50%
Peggy	51%	49%	50%

Answer: No, the companies do not form a wholly-owned group, because the lowest common voting interests of John and Peggy in each company, when aggregated, are less than 100%.

Shareholder	Company X	Company Y	Company Z	Lowest common voting interest
John	49%	51%	50%	49%
Peggy	<u>51%</u>	<u>49%</u>	<u>50%</u>	<u>49%</u>
Total	100%	100%	100%	98%

Law: IT07 s [IC 4](#)

Last reviewed on 31 December 2025

Grouping tax losses [¶18-060]

[¶18-060]

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Subject to certain conditions being satisfied, companies in the same group of companies can group losses either by election or by subvention payment. In particular, the loss company can:

- # elect, by notice in accordance with s [IC 9\(2\)](#), that the whole or part of its tax loss in a tax year be made available to a profit company — such an election is irrevocable, or
- # agree to receive a subvention payment from the profit company in return for the profit company bearing the loss company's tax loss.

Notice must be given to the Commissioner by the extended return date. This means no later than the 31 March that first follows the end of the loss company's year of offset, or within such further time as the Commissioner may allow. For example, a loss company on a tax agent's list with a 30 June 2023 balance date must file an election by 31 March 2024 to validly group losses in the 2022–23 income year. The notification may be made in the company's annual return of income.

Note that where a profit company uses a loss that a loss company has elected to have carried back to a preceding tax year under the temporary loss carry-back scheme in s [IZ 8](#) (¶18-016), the extended return date is still determined based on the later tax year in which the loss company's loss arose.

Conditions to be met

Grouping of losses requires the following conditions to be satisfied in respect of any tax year:

- # the profit company is in the same “group of companies” as the loss company from the first day of the year in which the loss was incurred until the last day of the year in which the loss is grouped (and where the profit company's balance date is later than the loss company's, until the last day of the year of grouping of the profit company)
- # the loss company is either incorporated in New Zealand or carrying on business in New Zealand through a fixed establishment, from the first day of the year in which the net loss was incurred until the last day of the year in which the loss is grouped. Before 15 March 2017, the loss company must be treated under a double tax agreement as not being resident in New Zealand or otherwise be liable to overseas income tax
- # continuity of ownership of at least 49% or, from the 2020–21 income year, continuity of business activities is maintained in the loss company from the start of the year the loss is incurred until the end of the year of offset (and where the profit company's balance date is later than that of the loss company, until the last day of the year of offset of the profit company)
- # the amount of the loss being made available does not exceed the net income of the profit company, and
- # in the case of a subvention payment, the following criteria are satisfied:
 - # the payment does not exceed the amount of the loss company's tax loss
 - # the payment is made not later than the 31 March that follows the end of the loss company's tax year in which the tax loss is subtracted or within such further time as the Commissioner may allow
 - # the payment is not otherwise taken into account in calculating the taxable income of either the loss company or the profit company, and
 - # the loss company gives notice of the payment to the Commissioner.

If these requirements are met, the grouped losses are subtracted from the profit company's net income and reduce the loss company's tax losses. The amount of a subvention payment is deemed not to amount to a dividend arising to the loss company.

Example:

For an income year, Profit Co has net income of \$2,000. Loss Co, a subsidiary of Profit Co, has a net loss of \$1,000. Profit Co agrees with Loss Co to make a subvention payment of 50% of the tax benefit with the balance of the loss being offset in the financial statements. The steps are:

Tax benefit of loss	
	$\$1,000 \times 28\% = \280
Subvention payment	
	$\$280 \times 50\% = \140
Election to make loss available	
Total net loss	\$1,000
Less: subvention payment	<u>\$140</u>
	<u>\$860</u>

For grouping purposes, the subvention payment of \$140 made by Profit Co is subtracted from Profit Co's net income.

Meaning of “payment” for subvention payment purposes

The Commissioner accepts that in the absence of any statutory definition of “payment” in the context of subvention payments, it should be given its ordinary meaning. Therefore, the requirement for payment to have taken place will be satisfied when the obligation under the subvention payment agreement has been discharged. The obligation can be discharged by an actual cash payment, cheque or bank transfer. Other methods of discharging an obligation can also amount to “payment”. An obligation will generally be discharged where the payee can no longer sue the payer for the payment. It should be noted that an accounting entry that merely records an intention to pay a subvention payment will not in itself amount to a “payment”. Also, simply resolving to pay a subvention payment does not amount to creating an enforceable obligation.

Standard Practice Statements

Standard Practice Statement [SPS 20/02](#): “Loss offset elections between group companies” applies from 12 February 2020 for an indefinite period and sets out:

- # certain practices that the Commissioner will accept for offsetting losses by election between group companies (for example, the requirements for giving notice of the loss offset and the Commissioner's practice regarding part-year losses), and
- # the consequences of specific events that can affect a loss offset (for example, the reassessment of the loss company's loss or the profit company's profit) and how these should be addressed.

The statement relates to subpart [IC](#) of the Income Tax Act 2007, but it is not a comprehensive guide.

[SPS 20/02](#) reaches the same conclusions as the previous statement, [SPS 17/03](#), but one of the examples has been expanded to clarify that late loss offset elections can be made where, at the original time of filing the loss company's return, the loss company was unaware of the group companies' profit outcome. The replacement statement also recognises that not all additional late loss offsets will result in an amendment to assessments.

Interpretation Statement [IS 22/07](#): “Company losses — ownership continuity, sharing and measurement” discusses how losses can be shared between companies and confirms the residency of the profit company is not important when sharing losses.

Note: Since [IS 22/07](#) was issued, the prohibition on dual residency companies grouping for tax losses has been lifted. Section [IC 7\(2\)](#) is repealed effective 15 March 2017.

Grouping of loss limited for bad debt and share loss deductions

A deduction cannot be claimed by a company (the write-off company) for either bad debts or share losses and then a further deduction claimed by the group offsetting losses of the relevant loss company. Section [IC 12](#) prohibits a company in the group from grouping losses when:

- # the write-off company has been allowed a deduction for a bad debt from an intra-group loan or a loss on shares (whether a loss on disposal or by a decrease in value of trading stock under subpart [EB](#)), and
- # the loss company claimed a deduction for expenditure funded by the loan or by the issue of the shares that was taken into account in calculating the tax loss of the loss company.

The tax loss of the loss company will only be available to be grouped to the extent that it exceeds the aggregate of the deductions allowed to the write-off company for the relevant debts or share losses.

A loss company in the same group as the write-off company can carry forward a loss for offsetting against its own income in future income years.

Example:

Bad debt deduction and loss limitation

In November 20X1, Lender Co lends \$2 million to Borrower Co, a company in which Lender Co owns 67% of the shares. Borrower Co uses the money in a high-risk business venture. The venture fails. Borrower Co makes a business loss of \$3 million from the investment for the 20X1–X2 income year. In March 20X2, Lender Co decides to write off the \$2 million debt owing as bad. Lender Co satisfies the criteria for a bad debt deduction in s [DB 31](#). Section [IC 12](#) prohibits Lender Co (or any other company in the same group) from utilising the net loss of Borrower Co to the extent that the net loss equals or is less than the bad debt deduction obtained. Therefore, Lender Co will be entitled to utilise \$1 million of the net loss of Borrower Co (ie loss of \$3 million less the bad debt deduction \$2 million).

Example:

Share write-down and loss limitation

C Ltd, a share trader, subscribed for the entire share capital (\$400,000) in K Ltd on 1 April 20X1. Both companies have 31 March balance dates. During the income year, K Ltd used all the funds in tax-deductible expenditure and made a net loss of \$370,000. Accordingly, C Ltd devalues its shares in K Ltd to \$0 and claims a deduction for this under s [DB 49](#) in its 20X1–X2 income tax return which shows a net profit for the year of \$50,000. C Ltd seeks to offset K Ltd's \$370,000 net loss.

C Ltd cannot utilise K Ltd's net loss because, although both companies are group companies, the loss of \$370,000 does not exceed the deduction claimed for the share loss of \$400,000. Thus, the requirements of s [IC 12](#) are not satisfied. The \$370,000 loss balance must be carried forward in K Ltd and is not available for grouping with C Ltd or any other company in the same group during the 20X1–X2 income year.

Reduction of losses used by group companies

The Commissioner may determine that the actual tax loss incurred by a loss company in a group is less than the aggregate of that company's losses used by 2 or more group companies. In this situation, any losses utilised by profit companies in a group will require adjustment.

When the Commissioner gives a loss company notice of a determination of a reduced loss, the loss company has 6 months from the date of the notice (or within such further time as the Commissioner allows) to notify the Commissioner how that loss reduction should be allocated among the profit companies originally involved in the loss grouping (ie as a reduction in the respective losses subtracted by the profit companies).

If a profit company is no longer a member of the same group of companies as the loss company at the time at which the loss reduction allocation is made, the loss reduction allocated to that profit company cannot exceed the amount that would be allocated if it were apportioned among the original profit companies. If the allocation does exceed such a pro rata calculation, the allocation is disregarded.

If an allocation of the loss reduction is outside the time limit, is not made, or is deemed not to have been made, the loss reduction is allocated on a pro rata basis among the profit companies.

An allocation of loss reduction may result in any subvention payment for the loss utilisation being treated as a dividend received by the loss company. In that case, the dividend is deemed to be reduced to the extent that payment is refunded to the profit company within 6 months of the notice of the loss reduction determination issued by the Commissioner.

In Interpretation Statement [IS 22/07](#): “Company losses — ownership continuity, sharing and measurement” the Commissioner discusses at [243] onwards the amended assessments and consequential adjustments where net losses have been shared with multiple profit companies and the effect of the decreased losses on subvention payments.

Law: IT07 ss [IC 1](#), [IC 2](#), [IC 5–IC 12](#)

Last reviewed on 31 December 2025

Grouping of part-year losses [¶18-065]

[¶18-065]

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In common with the general rules for carrying forward loss balances referred to at [¶18-025](#), part-year rules also apply for the grouping of tax losses. These part-year rules allow tax losses to be grouped even in circumstances where there has been a breach of commonality or continuity of ownership part-way through the year.

Section [IP 4](#) applies when a tax loss arises in the tax year in which the requirements for grouping tax losses are breached. It modifies the criteria for grouping a company's tax loss set out in [s IC 5](#) for part-year losses. Where continuity or commonality is breached, the net loss of a company arising during an income year can be identified between pre- and post-breach net losses. The pre-breach net losses will be available for grouping by the pre-breach owners with the post-breach net losses available for grouping by the new owners, provided adequate accounts have been prepared and provided to the Commissioner by both the profit company and the loss company. The net loss available to be grouped for each period cannot exceed the net income of the profit company for that period. The part-year accounts must be prepared by applying the provisions of the Income Tax Act 2007 to the period in question as if it were a tax year. In other words, end-of-year adjustments that are normally made by the companies (eg bad debt deductions, trading stock provisions, depreciation recovery income or depreciation loss on disposal, and attributed CFC income and loss) must also be made at the end of the period.

Section [IP 5](#) applies when a loss company has carried forward a loss balance to a tax year in which either the continuity or commonality requirements for grouping tax losses are breached. The losses that have been carried forward to a subsequent year can be grouped but only to the extent of the net income of the other group companies prior to the breach. Adequate financial statements must be provided to the Commissioner and, as above, the part-year accounts must be prepared as if the part-year period in question was a tax year.

Law: IT07 ss [IC 5\(6\)](#), [IP 1](#), [IP 2](#), [IP 4–IP 7](#)

Last reviewed on 31 December 2025

Losses used to discharge shortfall penalties [¶18-085]

[¶18-085]

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A tax loss may be used to satisfy any shortfall penalties that a taxpayer is required to pay, so long as an appropriate election is made in terms of s [IW 1](#). A wholly-owned group of companies may also elect to apply a loss incurred by one member of the group against any shortfall penalty imposed against any other group member. Each dollar of tax loss used to pay a shortfall penalty is equal to one dollar multiplied by the company tax rate (or, in the case of an individual, the marginal tax rate) for the period to which the shortfall penalty relates.

Law: IT07 ss [IA 3\(1\)](#), [IW 1](#)

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